AI Error Log and Verification Report

Sweet Crumbs Bakery | Arsha J Albert

1. Error Log

Representative examples of the unrealistic or unsupported claims found while drafting and checking the plan.

#	Section	AI claim	Problem	Correction
1	Market	The local bakery market grows 25% every year.	No source; likely invented or from another country.	Removed. Growth marked as an assumption to verify.
2	Financials	Net profit margin will be 45%.	Unrealistic for a small bakery.	Model rebuilt; margin is about 14%.
3	Operations	Break-even in month 2.	Ignored setup cost and slow customer ramp-up.	Break-even is 61 customers a day; payback about 14.4 months.
4	Marketing	Social media ads will bring 500 customers a day.	Far above shop capacity and the Rs. 8,000 budget.	Capped at 80 customers a day (range 60 to 100).
5	Operations	A food licence takes 1 day.	Licences usually take longer and need documents.	Marked: check with the local authority.
6	Financials	Table totals that did not add up.	Arithmetic mistakes in the AI table.	Every figure recalculated in Sheets.

2. Verification Report

Each number or assumption was checked by recalculation, by comparing with a second AI tool, or labelled as an assumption.

Item	Method	Result
Monthly sales (80 x 140 x 26)	Recalculated in Sheets	Rs. 2,91,200 - correct
Gross profit at 60%	Recalculated	Rs. 1,74,720 - correct
Net profit	Recalculated	Rs. 41,720 - correct
Break-even sales	Recalculated (fixed costs / 0.60)	Rs. 2,21,667 - correct
Payback period	Recalculated	14.4 months - differs from the AI claim, corrected
Ingredient cost 40%	Compared with a second AI	Reasonable range; kept as an assumption
Market growth, competitor count, licence time	Could not be verified	Marked as assumptions; a local survey would be needed
Rent and salaries	Fictional business	Assumed values, not real data

3. Responsible AI Notes

- Numbers from AI were never used without recalculation.
- Unverified claims were labelled as assumptions.
- The error log records what was wrong and how it was fixed.
- The business and all figures are fictional.